HOUSE JOINT RESOLUTION 1073

By Clemmons

A RESOLUTION relative to tariffs invalidly imposed under the International Emergency Powers Act.

WHEREAS, it is fitting that this General Assembly act with the fiscal interest of Tennessee in mind; and

WHEREAS, in *Learning Resources, Inc. v. Trump*, the U.S. Supreme Court held that the International Emergency Powers Act (IEEPA) does not authorize the President to impose tariffs; and

WHEREAS, the landmark 6-3 decision by the U.S. Supreme Court effectively ruled that all of the tariffs imposed by the President under IEEPA are, and have been since inception, invalid; and

WHEREAS, the U.S. Supreme Court's ruling means that the following tariffs imposed by the President under IEEPA are invalid: reciprocal tariffs; tariffs imposed in April 2025 on all imports from most countries around the world; tariffs on Chinese-origin goods, certain Canadian-origin goods, and certain Mexican-origin goods; additional tariffs imposed on Brazilian-origin goods; additional tariffs imposed on Indian-origin items from August 6, 2025, to February 7, 2026; and, all future tariffs that have been threatened under IEEPA; and

WHEREAS, in its decision, the U.S. Supreme Court did not directly address remedies or the mechanics of refunding previously collected duties; and

WHEREAS, the laws of these United States and long-standing legal precedent hold that the collection of any funds by the U.S. government based on tariffs that have been ruled invalid constitutes an illegal exaction, and the government may not retain these funds; and

WHEREAS, Tennessee paid an estimated $3.5 billion in IEEPA tariffs, ranking it among the states with the highest totals paid; and

WHEREAS, the nonpartisan Tax Foundation estimated an impact of approximately $1,100 in cost increases per household in 2025, while the Yale Budget Lab estimated that the cost increases were as high as $1,700 per household; and

WHEREAS, *An Economic Report to the Governor of the State of Tennessee 2026*, as prepared by the Boyd Center for Business and Economic Research and the Department of Agricultural and Resource Economics at the University of Tennessee, reported that U.S. consumers absorbed a substantial fraction of the import taxes, with imported goods rising 6 to 7 percentage points in price and domestically produced goods dependent on foreign inputs increasing by about 4.5 percentage points; and

WHEREAS, according to *An Economic Report to the Governor of the State of Tennessee 2026*, exports from Tennessee to all countries for 2025 year-to-date through August fell by 7 percentage points from the same time the previous year; and

WHEREAS, according *to An Economic Report to the Governor of the State of Tennessee 2026*, as a result of retaliatory tariffs, exports from Tennessee to Canada fell by over $1.2 billion from August 2024 to August 2025 year-to-date, equating to a 22 percent reduction; and

WHEREAS, according to *An Economic Report to the Governor of the State of Tennessee 2026*, as a result of retaliatory tariffs, exports from Tennessee to China fell by $724 million, equating to a 31.4 percent reduction; and

WHEREAS, according to *An Economic Report to the Governor of the State of Tennessee 2026*, U.S. agricultural trade in 2025 was significantly impacted by decreased trade with China; and

WHEREAS, according to *An Economic Report to the Governor of the State of Tennessee 2026*, Tennessee's agricultural and related exports were down $181 million or 7.8 percent when compared to fiscal year 2024; and

WHEREAS, according to *An Economic Report to the Governor of the State of Tennessee 2026*, Tennessee exports of bulk agricultural commodities, which include cotton, tobacco, and soybeans, were down $321 million or 32.8 percent in fiscal year 2025 when compared to fiscal year 2024; and

WHEREAS, according to *An Economic Report to the Governor of the State of Tennessee 2026*, a conservative loss estimate for Tennessee soybean exports, as of July 2025 when compared to the previous year, is between $30 million to $40 million; and

WHEREAS, the members of this General Assembly find it appropriate to acknowledge the significant monetary losses suffered by Tennessee businesses, farmers, and consumers as a direct result of the President's invalid tariffs imposed under IEEPA; now, therefore,

BE IT RESOLVED BY THE HOUSE OF REPRESENTATIVES OF THE ONE HUNDRED FOURTEENTH GENERAL ASSEMBLY OF THE STATE OF TENNESSEE, THE SENATE CONCURRING, that the State of Tennessee honors and celebrates the laws of the United States and longstanding legal precedent that makes clear that the federal government may not retain any funds collected by the U.S. government based on tariffs that have been ruled invalid, the collection of such funds constituting an illegal exaction.